

responsible for budgeting? All too often the answer is “not really.” All too often people allow their income to define their budgets. When we tell our audiences about the budgeting and planning habits of the affluent, someone always asks a predictable question: Why would someone who is a millionaire need to budget? Our answer is always the same:

They became millionaires by budgeting and controlling expenses, and they maintain their affluent status the same way.

Sometimes we are forced to add analogies to make our point. We ask, for example:

Have you ever noticed those people whom you see jogging day after day? They are the ones who seem not to need to jog. But that's why they are fit. Those who are wealthy work at staying financially fit. But those who are not financially fit do little to change their status.

Most people want to be physically fit. And the majority know what is required to achieve this. But despite that knowledge, most people never become well conditioned physically. Why not? Because they don't have the discipline to just do it. They don't budget their time to just do it. It is like becoming wealthy in America. Oh, you want to all right, but you play lousy financial defense. You don't have the discipline to control your spending. You don't take the time to budget or plan. Note that under accumulators of wealth spend three times as much time exercising per month as they do planning their investment strategies.

Mrs. Rule is different. She's like most millionaires. She's disciplined. She takes time to plan and budget. This translates into wealth. Mrs. Rule's household income varies from year to year. (It is typical for auctioneers to have ups and downs in their cash flow. Often downturns in our nation's economy translate into increased demand for auctioneering services.) Over the past five years her annual income averaged around \$90,000. But her net worth keeps increasing. Today Mrs. Rule has a net worth of more than \$2 million. In our survey, she answered “yes” to four questions about planning and budgeting.